

What is cloud computing?

Cloud Computing

Accessing computing services (servers, storage, software) over the internet, provided and managed by a third party. You use what you need, when you need it, without owning any hardware.

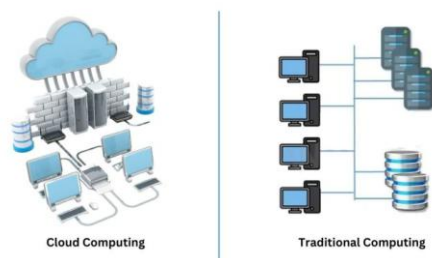


What is traditional computing?

Traditional Computing

Running software and storing data on physical hardware you own and maintain locally; like a desktop PC or a company's own server room. Everything lives on-site.

Cloud Computing vs. Traditional Computing



Cost comparison

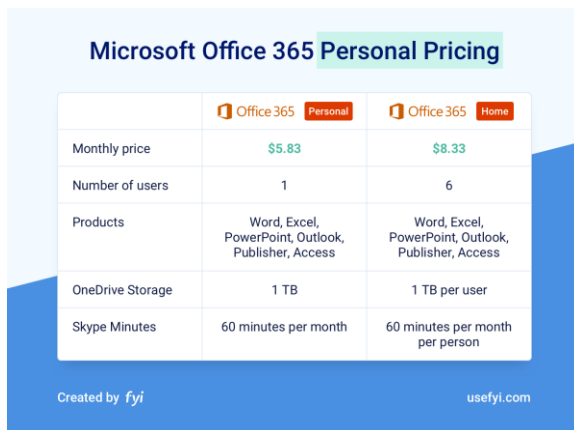
CLOUD COMPUTING

Pay-as-you-go

Subscription or usage-based billing

- Low upfront cost - no hardware to buy
- Monthly or annual subscription fees
- Scale up or down based on usage
- Provider handles maintenance costs

Real-world example: Microsoft 365 subscription - R219/month per user, no servers needed.



The image shows a screenshot of the Microsoft Office 365 Personal Pricing page. It features a table comparing two subscription plans: Office 365 Personal and Office 365 Home. The table lists various features and their respective costs. The Office 365 Personal plan is priced at \$5.83 per month for one user, while the Office 365 Home plan is priced at \$8.33 per month for up to six users. Both plans include access to Word, Excel, PowerPoint, Outlook, Publisher, and Access, as well as 1 TB of OneDrive storage and 60 minutes of Skype per month. The table is set against a blue background with the Microsoft Office logo and the text 'Microsoft Office 365 Personal Pricing' at the top. At the bottom, it says 'Created by fyi' and 'usefyi.com'.

	Office 365 Personal	Office 365 Home
Monthly price	\$5.83	\$8.33
Number of users	1	6
Products	Word, Excel, PowerPoint, Outlook, Publisher, Access	Word, Excel, PowerPoint, Outlook, Publisher, Access
OneDrive Storage	1 TB	1 TB per user
Skype Minutes	60 minutes per month	60 minutes per month per person

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TRADITIONAL COMPUTING

One-time purchase

Large upfront capital investment

- High initial cost for hardware/software licences
- Ongoing maintenance and IT staff costs
- Upgrading means buying new equipment
- Fixed capacity - pay for max, not actual use

Real-world example: Buying Microsoft Office once (R3 500+) and installing it on a single PC.



Cloud Computing vs Traditional Computing Costs

